
Dispute Resolution Preparation Note — Retention Interpretation Dispute

Nandira River Bridge Project — Package NRB-4

Document Reference:	DRPN-NRB4-001
Date:	29-Apr-2022
Contract No.:	NHIA/NRB4/CW/2020-01
From:	Meridian Engineering Consultants, Contracts Section
To:	National Highways Infrastructure Authority (Project File)

Subject: Preparation Note — Retention Interpretation Dispute (VO-NRB4-004)

1. SUMMARY OF DISPUTE: The Contractor contends that the value of Variation VO-NRB4-004 (VTD 590,700, approved under NHIA-NRB4-APR-006) should be excluded from the Retention base applied under Interim Payment Certificate IPC-NRB4-011, and claims VTD 29,535 plus interest. No factual or arithmetic matter is in dispute; the disagreement is confined to the interpretation of Sub-Clause 13.3 and Contract Data Section 6.

2. DOCUMENT RECORD: CTR-NRB4-0091 (Commercial Notice) → NHIA-NRB4-COMM-003 (Employer preliminary response) → FCS-NRB4-011 / PRE-NRB4-011 (calculation and register support) → CIM-NRB4-002 (Engineer's interpretation memorandum) → ENG-NRB4-0038 (Engineer's determination, rejecting the claim) → CTR-NRB4-0098 (Notice of Dissatisfaction) → NHIA-NRB4-COMM-004 (Employer acknowledgement) → LCM-NRB4-001 (procedural and substantive review, confirming ENG-NRB4-0038) → CTR-NRB4-0104 (without-prejudice proposal for amicable discussion).

3. ASSESSMENT OF MERITS: Both CIM-NRB4-002 and LCM-NRB4-001 independently conclude that Sub-Clause 13.3 and Contract Data Section 6 provide no basis to exclude a Variation's value from Retention, regardless of the Variation's underlying cause. We are not aware of any provision of the General Conditions, Particular Conditions, or Contract Data that supports the Contractor's interpretation. In our assessment, the Engineer's determination in ENG-NRB4-0038 remains the correct contractual position, and the Notice of Dissatisfaction, while procedurally valid, is unlikely to succeed on its merits should it proceed to the Dispute Adjudication Board.

4. STATUS AND NEXT STEPS: A without-prejudice discussion meeting has been proposed by the Contractor (CTR-NRB4-0104) and is expected within four weeks of that letter. No referral to the Dispute Adjudication Board has yet been made by either Party. This note will be updated following the outcome of the amicable discussion.

Prepared by: Contracts Section, Meridian Engineering Consultants